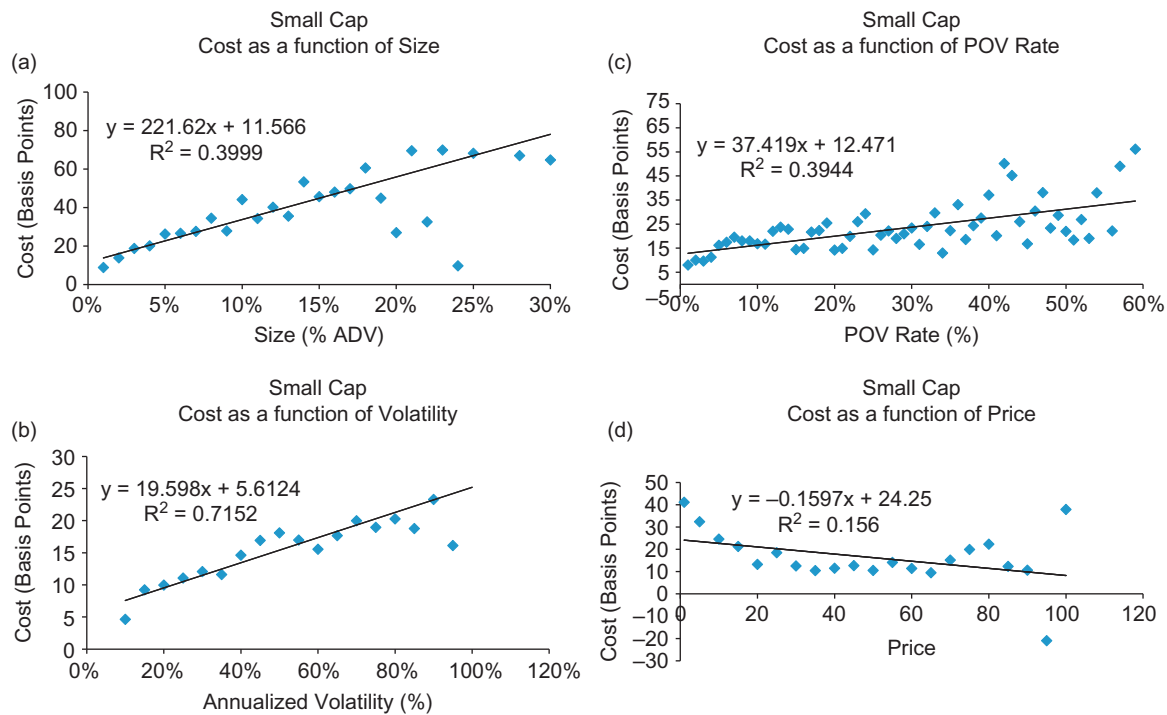




■ **Figure 5.2** Small Cap Stock Observations. (a) Small Cap Cost as a function of Size; (b) Small Cap Cost as a function of Volatility; (c) Small Cap Cost as a function of POV Rate; (d) Small Cap Cost as a function of Price.

relationship between trading cost and spreads is positive such that stocks with higher spreads show higher trading cost. The fit was $R^2 = 0.13$. Keep in mind—spreads are a separate transaction cost component.

Table 5.1 summarizes the results of our simple linear regression analysis of cost on each variable separately. We include the standard error and t-stat, along with coefficient and R^2 for each regression.

At this point, judicious analysts may prefer to perform additional analyses on the data to evaluate linear vs. non-linear relationship, as well as the correlation across explanatory factors and its effect on costs. For example, larger orders are usually executed with higher POV rates and smaller orders more often with lower POV rates. This unfortunately introduces a high degree of correlation. Furthermore, smaller cap stocks typically have higher volatility and larger cap stocks have lower volatility resulting in additional negatively correlated variables.

It is important to account for correlation across dependent variables when you estimate the model’s parameters and test for statistical significance.